DAGANG NeXCHANGE BERHAD ("DNeX" OR THE "COMPANY")
[REGISTRATION NO. 197001000738 (10039-P)]

- **PROPOSED DISPOSAL OF 'EXCALIBUR', A FLOATING PRODUCTION STORAGE AND OFFLOADING ("FPSO") VESSEL BY PING PETROLEUM UK PLC, A WHOLLY-OWNED SUBSIDIARY OF PING PETROLEUM LTD, WHICH IN TURN IS A 90% OWNED SUBSIDIARY OF DNeX FOR A CONSIDERATION OF USD35.0 MILLION TO BE SATISFIED ENTIRELY IN CASH ("PROPOSED DISPOSAL" OR THE "PROPOSAL")**

For the purpose of this announcement, "USD" refers to United States Dollar and "RM" refers to Ringgit Malaysia. Unless otherwise stated, the exchange rate of USD1.00:RM4.0625 which is the middle rate quoted by Bank Negara Malaysia as at 12.00 p.m. on 19 August 2026, being the last practical date ("LPD") prior to this announcement, has been applied to the figures included in this announcement.

1. INTRODUCTION

The Board of Directors of DNeX ("**the Board**") wishes to announce that Ping Petroleum UK PLC ("**PPUK**" or "**Seller**"), a wholly-owned subsidiary of Ping Petroleum Ltd, which in turn is a 90% owned subsidiary of DNeX, has entered into a Memorandum of Agreement ("**MOA**") with MISC Berhad ("**MISC**" or "**Buyer**") on 20 August 2026, for the Proposed Disposal of Excalibur Floating Production Storage and Offloading ("**FPSO Excalibur**" or "**Excalibur**") for a total disposal consideration of USD35,000,000 based on the terms and conditions as set out in the MOA.

Further details on the Proposed Disposal are set out in the ensuing sections.

2. INFORMATION ON THE BUYER

MISC is a public company listed on the Main Market of Bursa Malaysia Securities Berhad. Founded in 1968, MISC is an energy-related maritime group with more than five decades of industry experience. The group's businesses cover energy shipping and related activities, offshore floating solutions, marine repair and conversion, integrated marine services, port and terminal management, as well as maritime education and training.

3. DETAILS OF THE PROPOSED DISPOSAL

The Proposed Disposal shall entail the disposal of FPSO Excalibur to the Buyer for a disposal consideration of USD35,000,000 ("**Disposal Consideration**") to be satisfied entirely in cash. Please refer to Appendix I for the salient terms of the MOA.

3.1 Background information on Excalibur

Type of Vessel	:	Cylindrical Floating Production Storage Offload Vessel
Year built	:	2007
Port registry	:	Nassau, Bahamas

Shipbuilder	:	Hull – China, Topsides/Outfitting - The Netherlands
Length Overall	:	70.00 meter
Breadth	:	70.00 meter (Registered)
Depth	:	27.00 meter (Registered)
Capacity	:	300,000 barrels (Design)
Registered owner	:	Ping Petroleum UK PLC
Net book value ("**NBV**")	:	USD13.25 million or RM53.828 million
Original cost of investment	:	USD13.25 million or RM53.828 million

3.2 Basis and justification of arriving at the Disposal Consideration

The Disposal Consideration was arrived at on a "willing-buyer willing-seller" basis, taking into consideration the following:

(i) based on the NBV of Excalibur of which the Disposal Consideration represents a pro forma gain on disposal of USD5.86 million or RM23.81 million after taking into account capital gains tax payable as well as the tax authorities' recovery of capital allowances that was previously claimed by the Company in prior years; and

(ii) the fair value of the Excalibur as ascertained by ABS Consulting ranges between USD22.5 million to USD43.5 million, based on replacement cost appraisal method and market comparable appraisal method. The Disposal Consideration is within the estimated range of the fair value as appraised by an independent valuer.

3.3 Mode of Settlement for the Disposal Consideration

The Disposal Consideration will be satisfied entirely in cash as follows:-

(a) a booking fee of USD2.5 million was paid upon signing of exclusivity letter with PPUK in April 2026;
(b) a deposit of USD3.5million will be payable within 3 days from signing of the MOA; and
(c) the balance Disposal Consideration of USD29 million will be payable within 3 days from delivery of Excalibur.

Please refer to Appendix 1 for further information on the salient terms of the MOA.

3.4 Utilisation of proceeds

The entire disposal proceeds of USD35.0 million less settlement of payment of tax obligations associated with the disposal will be used for working capital purposes of the DNeX Group of Companies ("**Group**"). The disposal is expected to generate a net cash proceeds of USD14.11 million upon completion of transaction.

4. RATIONALE FOR THE PROPOSED DISPOSAL

The Proposed Disposal of the FPSO Excalibur represents a prudent and proactive strategic decision by the Group, reflecting the evolving fiscal, regulatory and development landscape in the UK offshore energy sector. The UK's policy direction increasingly encourages new developments to be tied back to existing, larger infrastructure, which has reduced the commercial attractiveness of the vessel's originally intended deployment.

This divestment enables the Group to optimise capital allocation and preserve value by avoiding the costs and potential value erosion associated with an extended warm-stacked period.

5. RISKS FACTORS

5.1 Non-completion or delay of the Proposed Disposal

The completion of the Proposed Disposal is subject to compliance with, among others, the warranties and covenants under the terms of the MOA. The Seller will endeavour to take necessary steps to ensure that the warranties and covenants by the Seller are fulfilled in a timely manner to facilitate the completion of the Proposed Disposal.

5.2 Foreign currency risk

The Disposal Consideration will be settled in USD, and therefore the Disposal Consideration if and when converted into RM may be impacted by the fluctuation of USD against RM, which may be addressed through the Group's strategies for managing foreign currency fluctuation.

6. FINANCIAL EFFECTS OF THE PROPOSED DISPOSAL

6.1 Share Capital

The Proposed Disposal will not have any effect on the issued and paid-up share capital of the Company.

6.2 Substantial shareholders' shareholdings

The Proposed Disposal will not have any effect on the substantial shareholders' shareholdings of the Company.

6.3 Net assets per share and gearing

The Proposed Disposal will not have any material effect on the Company's net assets per share and gearing for the financial year ending 31 December 2026.

6.4 Earnings per share

The Proposed Disposal is not expected to have any material effect on the Company's earnings per share for the financial year ending 31 December 2026.

7. HIGHEST PERCENTAGE RATIO

The highest percentage ratio applicable to the Proposed Disposal pursuant to Paragraph 10.02(g) of the Main Market Listing Requirements of Bursa Malaysia Securities Berhad ("**MMLR**") is 10.6% based on the Audited Financial Statements of DNeX for the financial year ended 31 December 2025.

8. APPROVAL REQUIRED

Based on the percentage ratio computation as detailed in Section 7 above, the Proposed Disposal is not subject to the approval of the shareholders of the Company in accordance with Chapter 10 of the MMLR and any government/regulatory authorities.

9. INTEREST OF DIRECTORS, MAJOR SHAREHOLDERS AND PERSONS CONNECTED INTERESTS

None of the Directors and/or major shareholders of the Company and/or persons connected to them have any interest, direct or indirect, in the Proposed Disposal.

10. STATEMENT BY DIRECTORS

The Board of DNeX, having reviewed and considered the terms and conditions of the MOA, is of the opinion that the Proposed Disposal is in the best interest of the Company and the terms and conditions of the MOA are fair, reasonable and on terms that are not detrimental to the interest of the minority shareholders of the Company.

11. ESTIMATED TIMEFRAME FOR COMPLETION

Barring any unforeseen circumstances, the Proposed Disposal is expected to be completed by the fourth quarter of the financial year ending 31 December 2026.

12. DOCUMENT FOR INSPECTION

A copy of the MOA is available for inspection during normal business hours from 9.00 am to 5.00 pm from Monday to Friday (excluding public holidays) at the registered office of the Company at E-10-4, Megan Avenue 1, 189, Jalan Tun Razak, 50400 Kuala Lumpur, W.P. Kuala Lumpur, for a period of 3 months from the date of this announcement.

This announcement is dated 20 August 2026.

SALIENT TERMS OF THE MOA

Parties	:	Seller: PPUK Buyer: MISC
Vessel	:	FPSO Excalibur (IMO Number: 9417103)
Status of Vessel	:	In lay-up at the Port of Nigg, Scotland
Purchase Price	:	USD35,000,000.00
Type of Sale	:	Outright sale on an "as-is-where-is" basis
Payment Terms	:	(a) Deposit of USD3,500,000.00 is to be paid within 3 days from signing and exchange of the MOA. (b) Balance Purchase Price of USD31,500,000.00 is to be paid within 3 days from delivery of the Vessel. The Balance Purchase Price is inclusive of the Exclusivity/ Booking Fee of USD2,500,000.00 that has been received by PPUK.
Completion Date	:	The Vessel is to delivered to Buyer unencumbered by or before 5 November 2026
Risk & Title	:	Remains with Seller until Delivery at Malaysia Marine Heavy Engineering (MMHE)'s quayside, Pasir Gudang, Johor
Transport Arrangements	:	Transport to Malaysia to be arranged and costs to be borne by Buyer.
Insurance	:	Seller to maintain hull and machinery ("H&M") and protection and indemnity ("P&I") insurance until Delivery, with the Buyer and HLV owner/operator named as co-assureds during dry tow, all additional insurance costs shared equally, and seven days' prior notice required for cancellation or termination.
Seller's termination rights	:	If the Buyer fails to pay the Deposit or balance Purchase Price and fails to remedy the default despite 21 days' notice being given, then the Seller may terminate the MOA whereupon the Deposit and all monies paid will

		be forfeited and the Seller will be entitled claim for direct costs, losses and expenses incurred by the Seller.
Buyer's termination rights	:	The Buyer may terminate the MOA if the Seller fails to complete the legal transfer of the Vessel. Upon termination, all payments received by Seller are repayable to the Buyer. Additionally, Seller to reimburse the Buyer's reasonable documented tow and related costs if the Buyer terminates due to the Seller's failure to deliver the Vessel free of encumbrance. If the Seller's failure is due to negligence, the Buyer may recover direct losses and expenses plus interest. Buyer's termination right is subject to the Seller's 21-day cure period following written notice. Buyer may also terminate for convenience before 15 September 2026. However, in such event, Buyer is required to pay the Seller all payments due to the Seller up to the termination date and compensate the Seller for all costs, losses and expenses plus interest. Seller is entitled to retain the Deposit.
Governing Law and Dispute Resolution	:	Malaysia and Courts of Malaysia